12.1.1 Definition of Important Terms

Merchandising may be defined as "All the planning and activities involved in bringing the goods or merchandise for sales to the customers so that it fulfils the customer needs ultimately brings customer satisfaction." The process of apparel merchandising may be defined as the development, execution and delivery of a product line based upon the needs of a target market. Merchandising is a process of creating merchandise (goods bought and sold) based on a particular demand, whereas marketing is a process of supplying this merchandise for the market.

Merchandising is the process through which products are planned, developed, and presented to the identified target markets.

Marketing identifies the customer and determines what products to offer to that customer and how to do so while meeting the financial return objectives of the company. Sales are the operations that implement marketing and merchandising activities by physically selling the line to the retail customers according to marketing plans. Merchandising functions as a bridge between the design and sales to fulfill the needs of the buyer. Marketing is the management process through which goods and services move from concept to the customer. As a practice, it consists in coordination of four elements called 4P's. This includes identification, selection, and development of a **product**, determination of its **price**, selection of a distribution channel to reach the customer's **place** and the development and implementation of a **promotional** strategy.

According to American Marketing Association, merchandising encompasses "planning involved in marketing the right merchandise or service at the right place, at the right time, in the right quantities, and at the right price". Merchandising accomplishes six Rights to replenish the customer. They are

- **Right Merchandise**

Retailers should have the merchandise that customer wants.

- **Right Place**

Appropriate location of the merchandise is important since it decides the accessibility.

- **Right Time**

Apparel purchases are mostly seasonal in nature and so must be supplied promptly when it is most needed.

- **Right Quantity**

Required amount of inventory to get profitable sales volume.

- **Right Price**

Suitable price for the store to get profit and also to meet the competition and customer expectations.

- **Right Promotion**

Right balance between the investment and the appeal created for the customer.

12.2 Merchandising in Apparel Industry

Merchandiser should have constant eye on the manufacture and communicate with the manufacturer to get the goods as per the requirement of the buyer. A slight deviation in the production of garments in quality may spoil the name of the retailer.

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